

Table 34.1 Identification Guidelines

Characteristic	Discussion
Appearance	Flags must have a flagpole, a place where the stock goes nearly vertical and that leads to the flag. Price action bounded by two parallel trendlines becomes the flag. Price usually tilts against the prevailing trend: It rises in a downtrend and falls in an uptrend, but exceptions are common.
Price trend, flagpole	These formations usually form near the midpoint of a steep, quick price trend. If you do not have a flagpole, then ignore the flag.
Volume	Volume usually trends downward throughout the flag. Do not discard a flag because it has an unusual volume trend.
Breakout direction	Can be in any direction.
Duration	Flags are short, from a few days to 3 weeks. Formations longer than 3 weeks are better classified as channels or rectangles.